

Japan Semiconductors

Kokusai Deep Dive: ALD = Accelerate, Lead, Disrupt



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Kokusai Electric is a differentiated Japanese WFE supplier with core strength in batch atomic layer deposition (ALD). Batch ALD combines near-atomic-level thickness control and superior conformality with the throughput advantages of processing multiple wafers at once, and is increasingly gaining share from regular CVD especially in 3D memory structures. While ALD remains a niche — about 16.5% of the overall deposition market — its share is projected to rise to 18.7% by 2031. Kokusai leads the batch ALD market with 59% share, up from 33% in 2016, within the rest of the market mostly captured by TEL.

Memory is particularly ALD-intensive, and will drive Kokusai's earnings given the big capex cycle. Kokusai's memory exposure was 61.6% in FY26 (39.0% from DRAM and 22.6% from NAND), highest among major WFE suppliers — especially when compared to ASMI (not covered), single wafer ALD player, with only 16% memory exposure. Bernstein forecasts global DRAM and NAND WFE spending to more than triple between 2025 and 2028, versus 62% growth for logic / foundry WFE. NAND is particularly important: Kokusai equipment intensity is 3.1% of NAND WFE, almost twice its 1.6% intensity in DRAM. NAND WFE spending remains relatively underdeveloped at \$9bn in 2025 versus \$30bn for DRAM, creating potential upside should NAND investment narrow that gap.

China memory is an additional structural opportunity. China represented 39% of Kokusai's FY26/3 revenue, and management's FY27/3 outlook implies around 41% China revenue growth, including multinational customers. Local-China memory demand appears especially strong, with approximately 60% growth implied for domestic memory customers as new capacity comes on line. We estimate China DRAM WFE could grow 5.5x over the next three years, while China DRAM and NAND capacity expand by roughly 5x and 4.5x, respectively. On a flat-share basis, Kokusai's China local-memory revenue could theoretically reach ¥151bn by FY29, or 4.6x the FY26 trough. Near-term substitution risk remains limited because domestic suppliers have yet to demonstrate broad, proven replacement capability in Kokusai's demanding high-volume batch-memory applications.

Mini-batch ALD provides a further technology and margin catalyst. As NAND moves from 200–300 layers toward 300–400 layers and beyond, deeper channel holes and higher aspect ratios require tighter process control and better uniformity. Mini-batch systems offer faster purging, reduced loading effects and improved uniformity, while retaining multi-wafer productivity. Mini-batch penetration rises from around 50% today to 60–70% at 200–300 layers and becomes close to mandatory above 300–400 layers. For Kokusai, mini-batch carries about 2x the ASP of first-generation tools, with ASP rising roughly 50% per generation; current Gen 3 systems supporting up to 400 layers are around 2x Gen 1 ASP. Mini-batch gross margin is about 10ppt above the corporate average, versus roughly 5ppt for large-batch products.

Reiterate Outperform with 53% upside potential. We model revenue growth of 50% in FY27/3 and 34% in FY28/3, respectively 6% and 13% above consensus, with operating margin expanding from 17.8% in FY26 to 26.1%. EPS is forecast to rise 104% to ¥262.3 in FY27/3 and 42% to ¥373.7 in FY28/3—equivalent to roughly 72% two-year EPS CAGR. Our ¥12,420 price target applies a 30x one-year-forward P/E to 24-month-forward EPS of ¥413.8 and implies 53% upside, supporting our Outperform rating.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	19 Aug 2026 Closing Price	Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
						Cur	2025A	2026E	2027E	2025A	2026E	2027E
6525.JP (Kokusai)	O	JPY	8,105.00	12,420	128.4%	JPY	128.63	262.29	373.69	63.0	30.9	21.7
JPL			2,693.61									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate Kokusai (TP=¥12,420) Outperform.

DETAILS

Kokusai Electric (“Kokusai”) is a Japanese semiconductor equipment manufacturer focused on deposition and film-treatment processes. Its principal products include large-batch and mini-batch deposition systems, along with single-wafer treatment equipment. Unlike the more diversified global WFE peers, Kokusai’s product offerings make the company disproportionately levered to technology transition in memory.

We believe Kokusai Electric is a concentrated way to gain exposure to advanced memory capex. Their key product in batch deposition and thermal processing — in particular the batch atomic layer deposition (ALD) process in which the company combines the conformality of ALD with the productivity gains and therefore cost advantages — makes it especially attractive for memory makers.

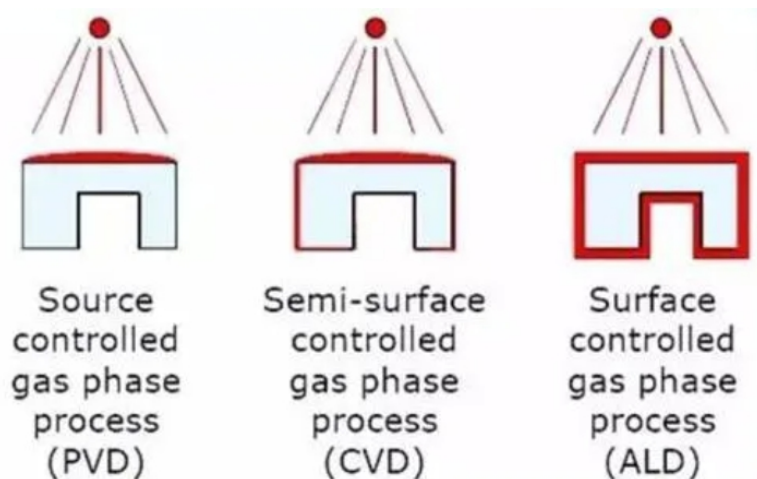
KOKUSAI DOMINATES IN BATCH ALD

ALD is a more advanced deposition method

Chemical vapor deposition (CVD) forms thin films through continuous chemical reactions on the wafer surface, while **atomic layer deposition (ALD)** uses sequential, self-limiting reactions. An ALD process supplies one precursor, purges the chamber, introduces a second precursor and purges again, with each cycle adding a tightly controlled amount of material. This enables near-atomic-level thickness control and superior conformality, allowing films to coat the top, sidewalls and bottom of deep trenches and holes more uniformly than conventional CVD or physical vapor deposition (PVD) as shown in Exhibit 1.

The trade-off is slower throughput, as ALD requires repeated deposition and purge cycles (Exhibit 2). Batch ALD helps offset this disadvantage by processing multiple wafers simultaneously, thereby combining ALD’s superior uniformity and step coverage with the productivity required for high-volume memory production (Exhibit 3).

EXHIBIT 1: **ALD ensures the best deposition uniformity and conformity.**



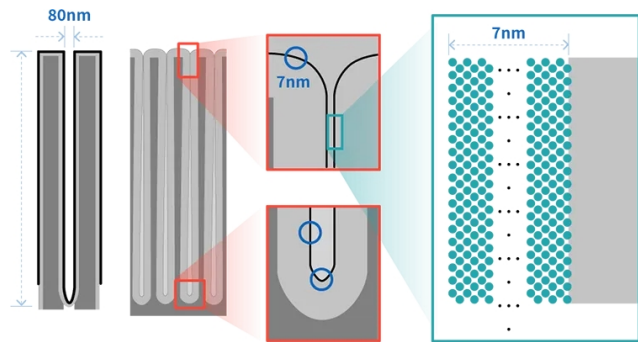
Source: Lam Research

EXHIBIT 2: **ALD has good conformality, but is slower.**

	ALD	CVD	PVD
Growth Rate	0.1 – 1 nm/min	10 – 100 nm/min	100 nm – 1 µm/min
Conformality	High 100% coverage	Medium Transport-dependent	0.1 – 1 nm/min
Materials	Oxides, nitrides, sulfides, metals, elements	Oxides, nitrides, sulfides, metals, elements	Metals, elements, alloys, some oxides/nitrides
Temperature	Wide range	High	Low
Growth Mechanism	Self-limiting	Continuous	Continuous
Directionality	Isotropic	Isotropic	Line-of-sight

Better property

Source: Bernstein analysis

EXHIBIT 3: **Batch ALD enables deposition with high productivity and outstanding step coverage for high-aspect-ratio trenches and holes.**

Source: Kokusai

Batch ALD for memory, Single Wafer for logic

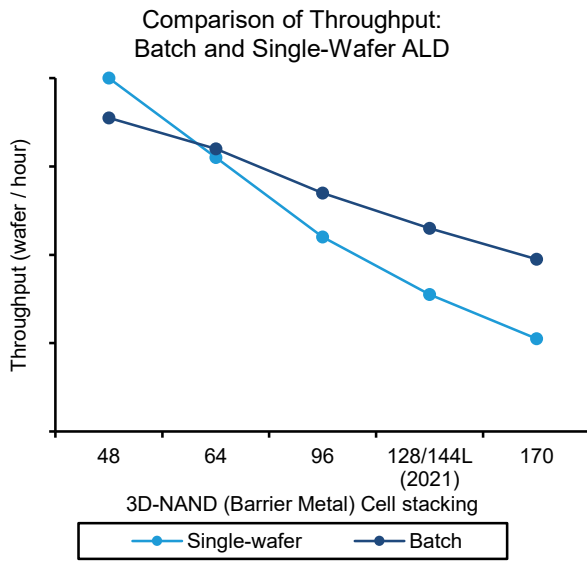
Due to its sequential and step-wise mechanism, ALD by definition comes with the inevitable trade-off of a slower throughput.

Batch processing (Exhibit 4), as opposed to **single-wafer**, helps offset this disadvantage by depositing films on multiple wafers simultaneously, preserving ALD's uniformity and conformality benefits while improving productivity and cost per wafer.

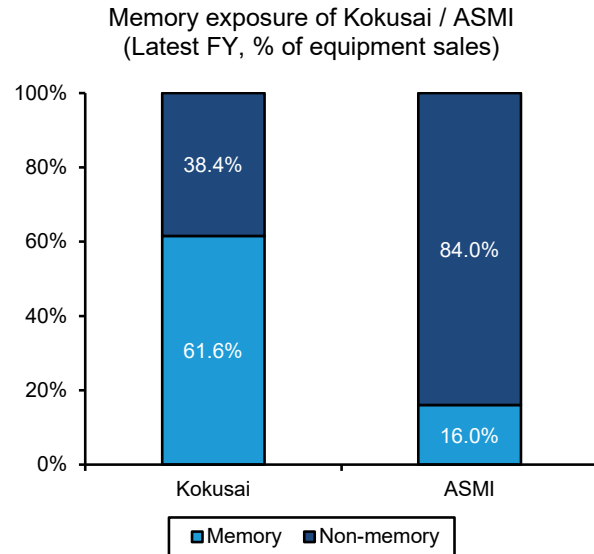
Large-batch systems process dozens of wafers in a single run and prioritise maximum throughput, while *mini-batch* systems process fewer wafers in a smaller reactor, sacrificing some scale for faster gas exchange, shorter purge times and tighter process control. *Single-wafer* systems process wafers individually, offering the greatest recipe flexibility and wafer-level control, but generally at a higher cost per wafer.

Large-batch and mini-batch architectures are therefore particularly well suited to cost-sensitive memory IDMs, which manufacture large volumes of relatively homogeneous wafers using standardised and repeatable process flows. Kokusai, with a strong presence across both large-batch and mini-batch ALD, is well positioned to capture this demand. By contrast, single-wafer ALD systems, such as those supplied by ASM International (ASM.NA, not covered), are generally better suited to foundries, where a more diverse product mix, frequent recipe changes and demanding process requirements place a greater premium on flexibility and wafer-level control.

In short, the customer breakdown for Kokusai and ASMI as an example shown in Exhibit 5, batch ALD can be said to be much more suitable for usage in memory IDMs, whereas single-wafer ALD is more suitable for logic / foundry customers.

EXHIBIT 4: Batch ALD has throughput benefits for certain applications such as NAND with higher stacks.

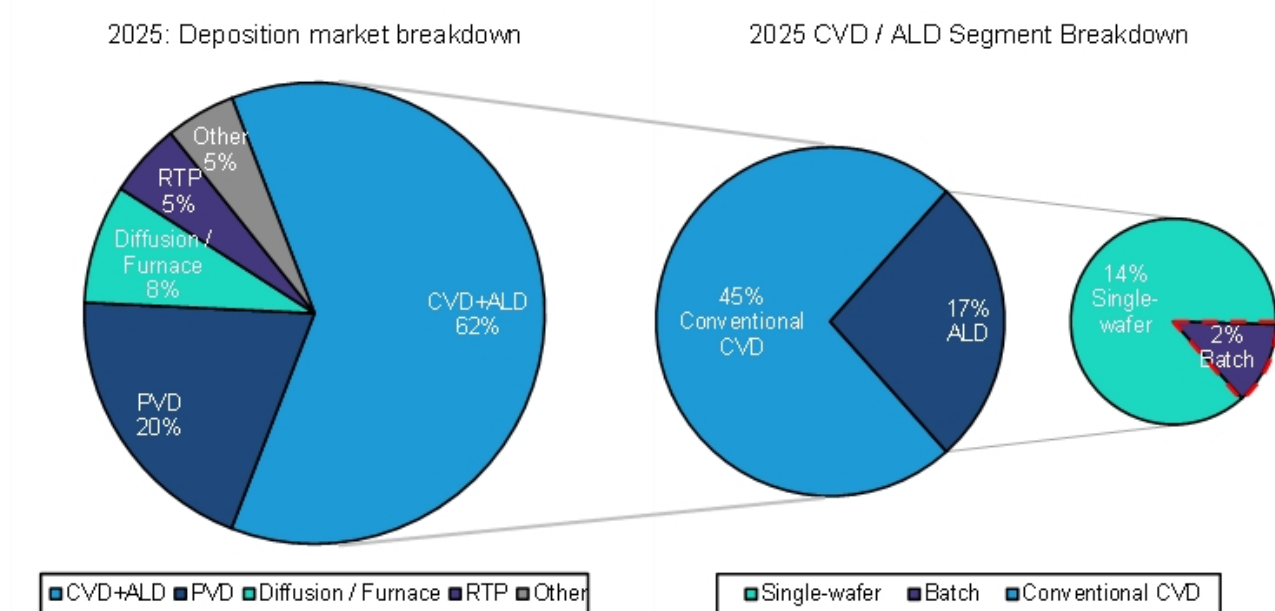
Source: Kokusai, Bernstein analysis.

EXHIBIT 5: Among ALD companies, Kokusai (batch ALD) and ASMI (single-wafer ALD) have starkly different application exposure.

Source: Company disclosures, Bernstein analysis.

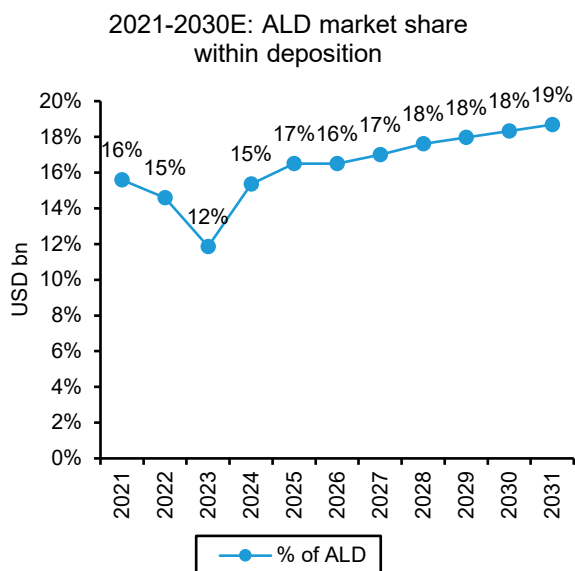
Batch ALD is niche but gaining share

In terms of market size, as of 2025, ALD with \$4.1bn TAM contributed around 17% of total deposition market of \$24.9bn. Within the broader CVD, ALD comprises ~27%, and within ALD, batch accounts for ~13% (Exhibit 6). The overall deposition market is projected to grow at a 13% CAGR up to 2031 and ALD mix within deposition is expected to grow to 18.7% by 2031, from 16.5% in 2025 (Exhibit 7).

EXHIBIT 6: ALD is a subset of CVD and contributes 17% of total deposition. Batch ALD is around 13% within ALD.

Source: TechInsights, Bernstein analysis.

EXHIBIT 7: ALD's share within deposition is expected to grow to 18.7% by 2031.

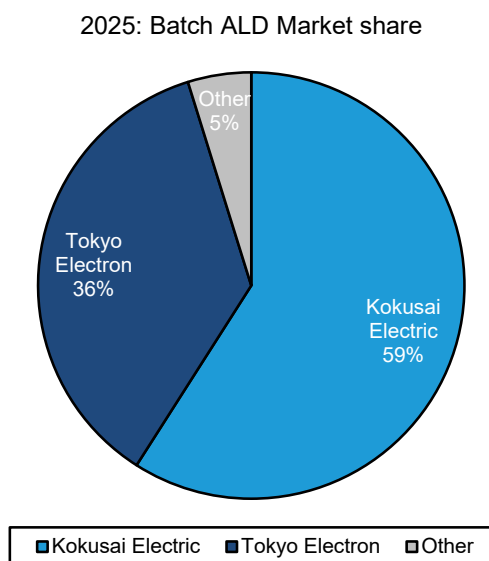


Source: TechInsights, Bernstein analysis.

Kokusai dominates in Batch ALD

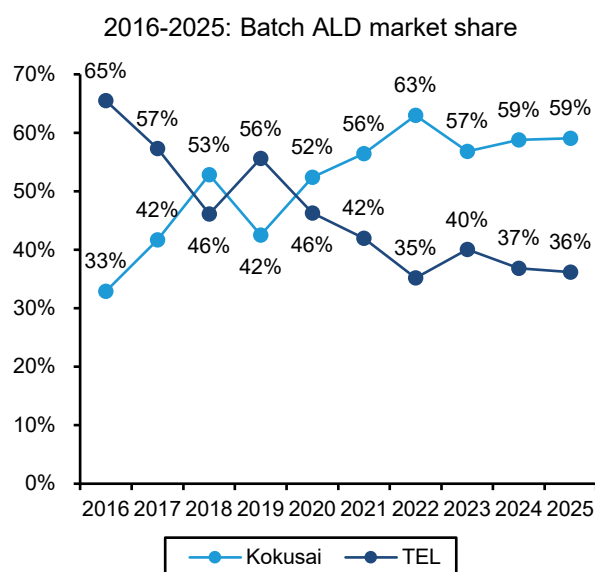
In terms of batch ALD specifically, the market is largely a duopoly between Kokusai and Tokyo Electron (8035.JT, Outperform), with Kokusai leading with 59% market share. In fact, Kokusai has constantly been gaining market share over the last 10 years, from 33% back in 2016 to 59% last year (Exhibit 8, Exhibit 9).

EXHIBIT 8: Batch ALD is a duopoly between Kokusai and TEL...



Source: TechInsights, Bernstein analysis.

EXHIBIT 9: ...over the years, Kokusai has gained market share within batch ALD.



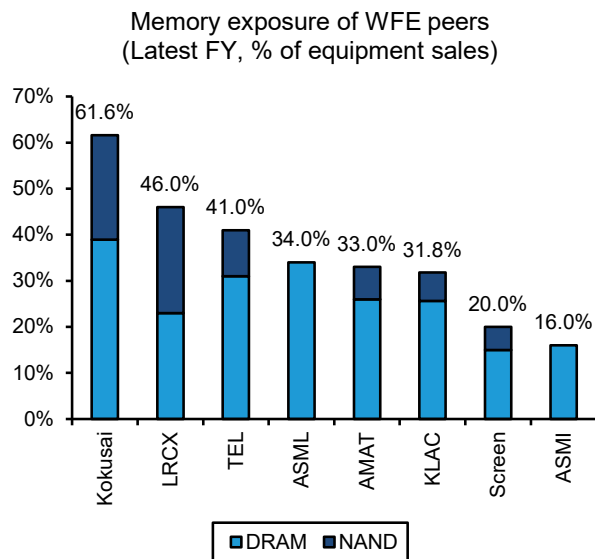
Source: TechInsights, Bernstein analysis.

HIGH ALD INTENSITY IN MEMORY TO BENEFIT FROM THE CAPEX UPCYCLE

We expect Kokusai to be one of the best WFE companies to play the memory capex cycle. Firstly, their memory exposure was by far the highest among WFE peers with 61.6% in FY26 (Exhibit 10), with 39% of equipment sales coming from DRAM and 22.6% sales coming from NAND. On the other hand, single-wafer ALD peer ASMI had only 16% of its equipment sales coming from memory.

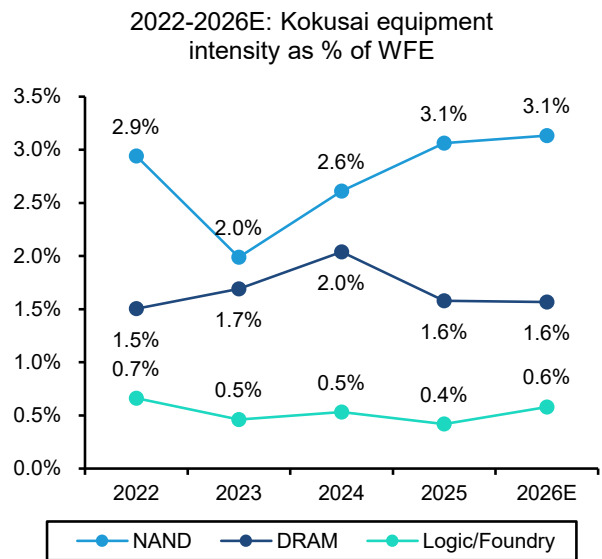
Our latest WFE update ([Global Semiconductor Equipment: Equip this! Raising WFE growth to 75% in two years](#)) models for both DRAM and NAND WFE more than tripling by 2028, outgrowing logic / foundry WFE growing 62% over the same period (Exhibit 12). Within memory, NAND capex is still somewhat limited in comparison with DRAM — we model \$9bn NAND WFE in 2025 vs. \$30bn DRAM WFE (Exhibit 13). If NAND capex were to converge with DRAM, this will benefit Kokusai more, as the intensity of Kokusai equipments among WFE (Exhibit 11) is almost 2x higher for NAND (3.1%) than for DRAM (1.6%). As such, incremental news flow on NAND capacity expansion would be positive for Kokusai.

EXHIBIT 10: **Kokusai is one of the most memory exposed company within WFE peers.**

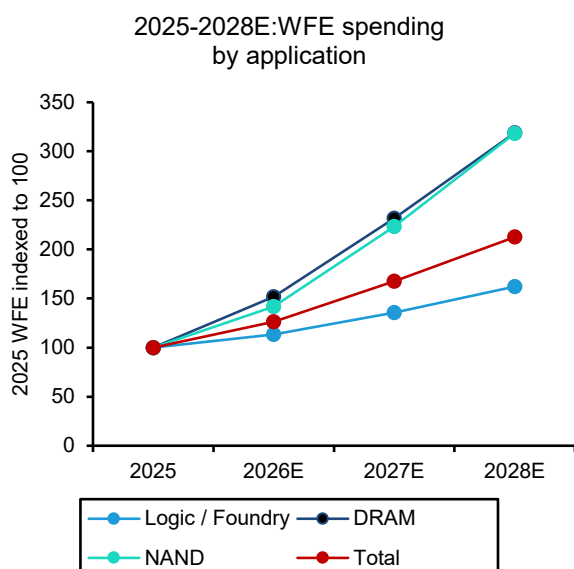


Source: Company disclosures, Bloomberg, Bernstein analysis.

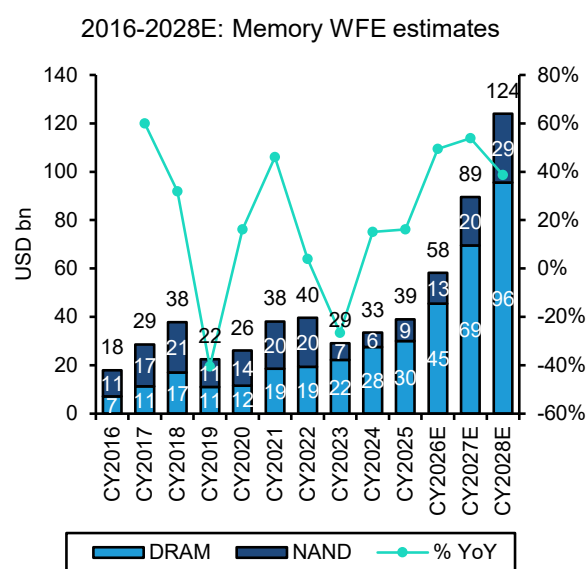
EXHIBIT 11: **Kokusai intensity is almost 2x higher for NAND than for DRAM.**



Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 12: We expect DRAM / NAND WFE spending to more than triple by 2028.


Source: Bernstein estimates and analysis.

EXHIBIT 13: Within memory, NAND capex is still very small compared to DRAM.


Source: Gartner, SEMI, Bernstein estimates and analysis.

CHINA MEMORY WILL PROVIDE UPSIDE

China already represents a significant revenue pool for Kokusai, reflecting the company's strong positions at domestic DRAM and NAND manufacturers. China accounted for 39% of Kokusai's FY26/3 revenue, despite sales to Chinese local DRAM customers declining following a period of concentrated shipments in the prior year. More recently, Kokusai raised its FY27/3 China revenue outlook to growth of around 41% YoY (including multinationals), implying that China remains an important contributor even as growth outside China accelerates.

The key driver for this China growth also comes from memory. While company expects 32% overall growth from China local customers, they seem to now expect ~60% growth from China local memory players, as they see a much stronger order book coming from new fabs like CXMT Shanghai as well as YMTC Wuhan #3.

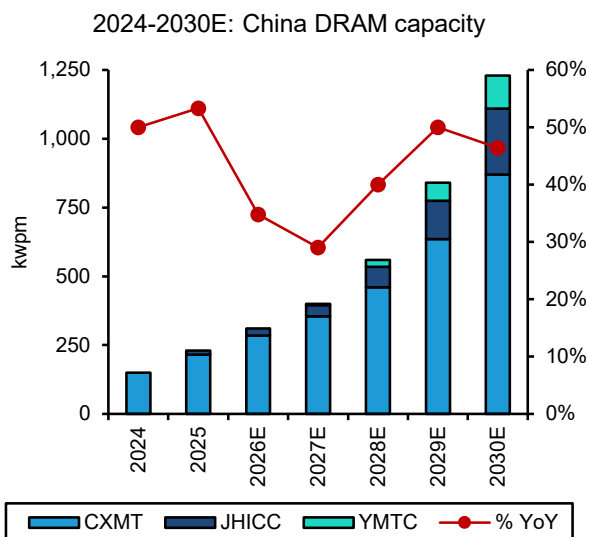
Going forward, we expect continued capacity expansion and technology migration from China memory IDMs which should provide further upside to Kokusai. We estimate China DRAM WFE to grow 5.5x over the next 3 years, significantly outpacing overall China WFE growth (Exhibit 14), driven by a strong capacity expansion from both DRAM and NAND (Exhibit 15, Exhibit 16).

EXHIBIT 14: We expect a much faster investment in China memory than overall China.

Application	Company	2023	2024	2025	2026E	2027E	2028E
DRAM	CXMT	5.3	5.6	3.6	6.6	12.0	18.0
DRAM	Other DRAM	--	--	--	2.0	4.0	8.0
NAND	YMTC	2.6	1.8	4.0	5.8	10.0	16.0
China Memory Total		7.9	7.3	7.6	14.4	26.0	42.0
China Total		36.8	45.3	50.6	57.0	73.0	101.2
DRAM % YoY			5%	(35%)	137%	86%	63%
NAND % YoY			(33%)	130%	44%	72%	60%
Total % YoY			23%	12%	13%	28%	39%

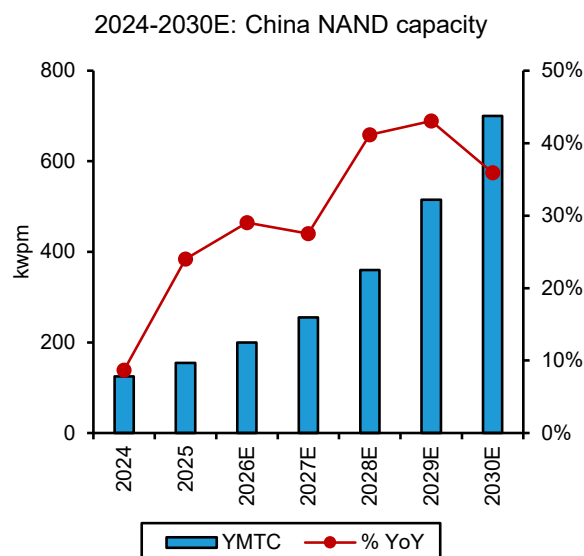
Source: SEMI, Bernstein China Semi Team estimates and analysis.

EXHIBIT 15: **We expect DRAM capacity to grow five-fold in the next 5 years.**



Source: Bernstein China Semi Team estimates and analysis.

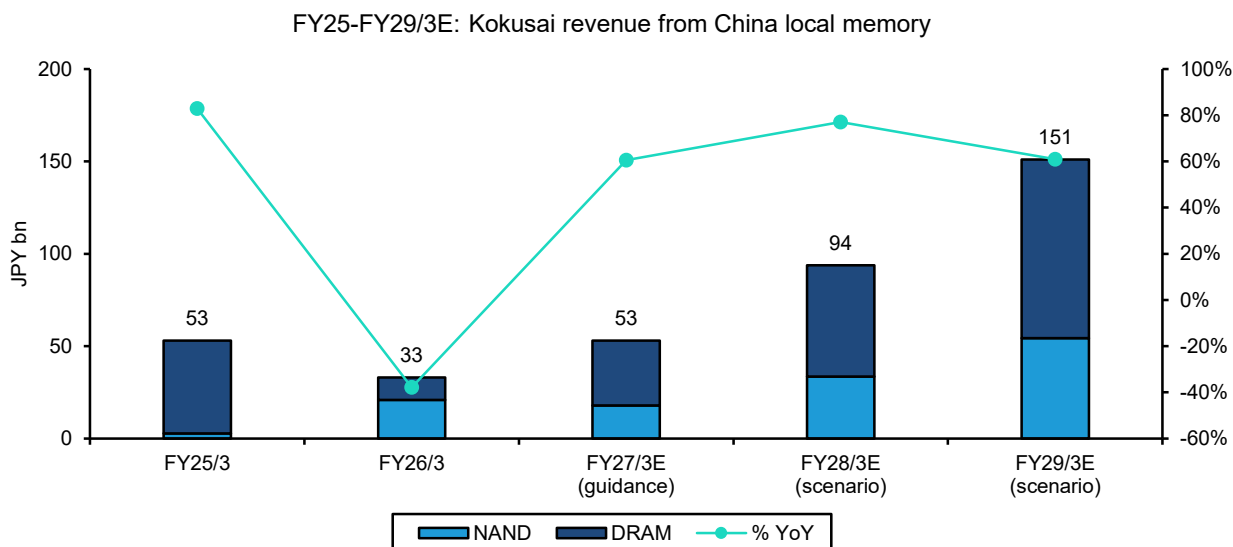
EXHIBIT 16: **Likewise, we expect a 4.5x growth for China NAND.**



Source: Bernstein China Semi Team estimates and analysis.

If we extrapolate the same growth rate of WFE spending for memory as shown in Exhibit 14 and assume flat market share for Kokusai within China local memory, it could theoretically go up to ¥151bn, which is a 4.6x growth from FY26 trough (Exhibit 17).

EXHIBIT 17: **If we assume flat market share for Kokusai's China local memory, we could see it reaching ¥151bn in FY29.**



Source: Company disclosures, Bernstein estimates and analysis.

China localization risk is limited

As for China competition risk we believe it to be still limited. While Chinese deposition suppliers have made meaningful progress in ALD, their current portfolios and disclosures do not yet indicate broad-based substitution of Kokusai's most demanding high-volume memory applications. The relevant competitive question is not simply whether a domestic supplier has an ALD product,

but rather whether they can achieve the required specifications such as film uniformity / conformality / throughput.

Among the major domestic suppliers, **Piotech** (688072.CH, covered by Qingyuan Lin) has ALD revenue but is concentrated in single-wafer PEALD (Plasma-Enhanced ALD). Their progress may be relevant to the broader localisation of ALD, but as demonstrated by ASMI for instance, single-wafer does not necessarily a like-for-like replacement of batch tools that Kokusai provides. They also seem to be developing their own batch equipments, but we believe it to be still not yet commercialized. **Leadmicro** (688147.CH, not covered) presents the most direct architectural competition given they offer conventional ALD in batch form factor. Although, we believe public information remains insufficient to establish significant market share gain or performance in the more advanced batch processes in memory to topple Kokusai. Lastly, **NAURA** (002371.CH, covered by Qingyuan Lin) has a broader and potentially more relevant batch deposition portfolio, and their platform breadth, as well as strong track record makes them a credible longer-term competitor. However, we don't necessarily see them having penetrated imminently into Kokusai's areas of expertise.

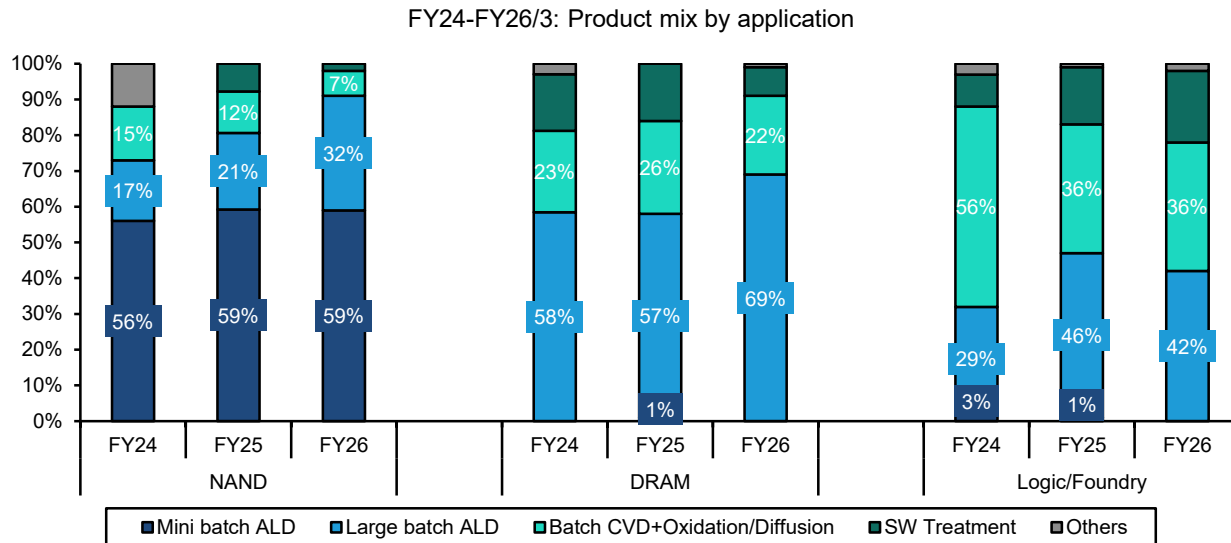
We believe Kokusai will be the biggest beneficiary of batch ALD demand driven by China memory in the next few years.

MINI-BATCH ALD OFFERS INCREMENTAL UPSIDE

Mini-batch is a smaller, more tightly controlled batch architecture. Relative to a traditional large-batch furnace, fewer wafers are loaded into a compact reactor with higher effective gas conductance and faster evacuation. This can reduce precursor-depletion or "loading" effects, accelerate purge cycles and improve film uniformity across increasingly difficult wafer structures. Relative to single-wafer processing, it retains the productivity benefit of processing multiple wafers together. Kokusai's product materials emphasise three advantages: 1. a compact, optimised reactor; 2. improved reaction-gas purging and shorter total deposition time; 3. reduced loading effects and better film-thickness uniformity. Its mini-batch products (TSURUGI series) is hence increasing penetration from large-batch (AdvancedAce series).

As NAND moves to higher layer counts (300-400 layers and beyond), vertical channel holes become deeper and the aspect ratios increase. The surface area to be coated also increases. As each wafer becomes more complex, the necessity of improved uniformity that mini batch can offer also rises. For Kokusai, every mini batch replacement from large batch means 2x ASP (for gen1 mini batch), and for each generation, the ASP goes up around 50%. Kokusai highlighted that current gen3 that can support up to 400 layers are around 2x of their gen 1 mini batch product.

In terms of the current mini batch penetration, the process mix seems to be around half-and-half split between mini batch / large batch. Whereas when you shift to 200-300 layers, 60-70% will have to be mini batch. And above 300-400 layers, Kokusai was confident that mini batch would basically be a requirement. Due to this mix shift, we believe Kokusai will be able to enjoy a good margin uplift as their mini batch with 10%pt higher GPM vs. equipment average replaces large batch with only 5%pt higher GPM vs. average. Other than mini batch ALD, their single-wafer treatment equipments are also high margin. In terms of high value-added equipments mix, NAND is again the highest with 93%, followed by DRAM with 77%, and logic / foundry with 62% (Exhibit 18).

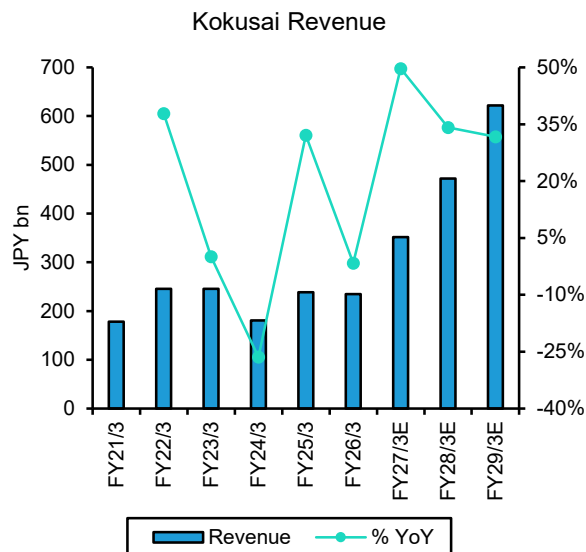
EXHIBIT 18: **NAND has the highest % of high-margin products such as ALD and SW Treatment.**

Source: Company disclosures, Bernstein analysis.

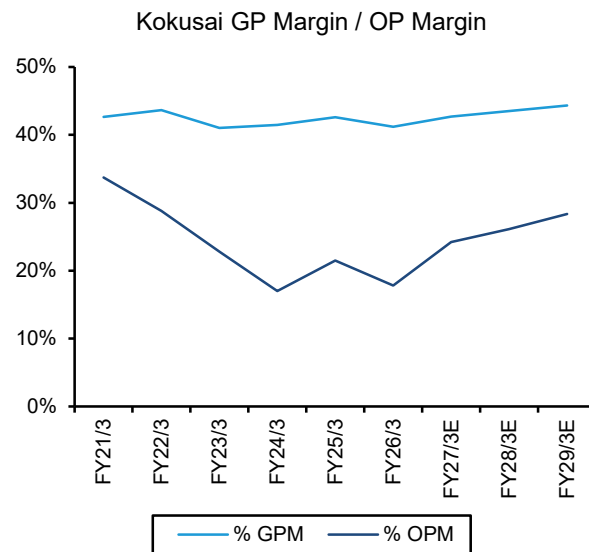
FINANCIALS AND VALUATION

Mainly driven by the strong memory capacity investment from both China and non-China, we currently model a 50% / 34% top line growth for FY27/3 and FY28/3, which is 6% / 13% above consensus respectively. And factoring in some margin upside from scale as well as mix change towards more favorable high value-add products such as mini batch, we expect Kokusai's reported OPM to expand to 26.1% from 17.8% in FY26. Our resulting EPS estimates of ¥262.3 / ¥373.7 imply a strong 104% / 42% bottom line growth over the next two years.

Our price target of ¥12,420 is derived by applying 24-month forward EPS of ¥413.8 to our 1-year forward target multiple of 30x, with an upside of 53%. **We reiterate Outperform rating on Kokusai.**

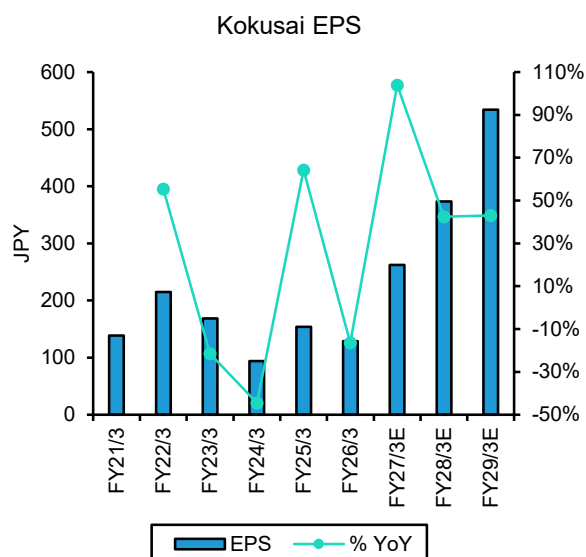
EXHIBIT 19: **Kokusai: FY21/3-FY29/3E Annual revenue**

Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 20: **Kokusai: FY21/3-FY29/3E Annual GPM / OPM**

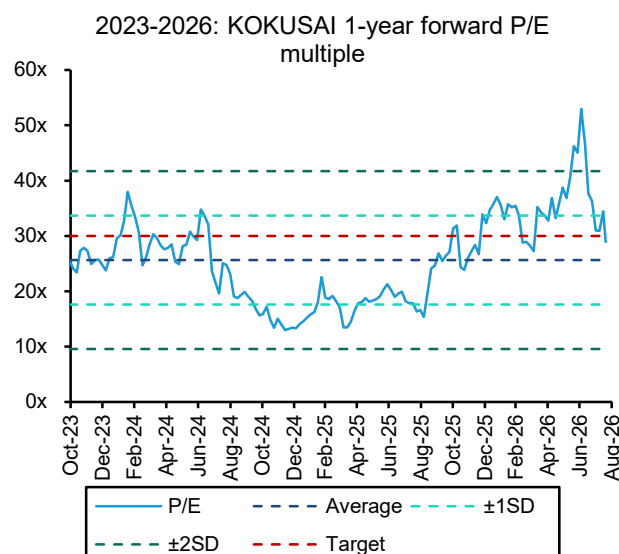
Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 21: Kokusai: FY21/3-FY29/3E Annual EPS



Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 22: Kokusai: Historical 1-year forward P/E multiple



Source: Bloomberg, Bernstein analysis.

COMPANY PROFILE

COMPANY HISTORY

Founded as Kokusai Denki K.K. in 1949, Kokusai entered the semiconductor production equipment market in 1956 through crystal-pulling systems for germanium and silicon, before listing on the First Section of the Tokyo Stock Exchange in 1961. The company developed its first CVD equipment in 1970, establishing the foundations of its current deposition business.

In 2000, it merged with Hitachi Denshi and Yagi Antenna to form Hitachi Kokusai Electric, which was subsequently taken private by KKR following a tender offer launched through HKE Holdings in 2017. The semiconductor equipment business later returned to the public market as Kokusai Electric, listing on the Tokyo Stock Exchange's Prime Market in 2023.

MANAGEMENT

Kazunori Tsukada, President and CEO, assumed the role in 2026 and was reappointed as Representative Director in June 2026. Tsukada began his career at Kokusai Denki K.K. in 1986 and most recently oversaw corporate planning, public relations and IR from 2023, giving him extensive company experience alongside direct exposure to strategy and capital markets.

Hidehiro Yanagawa, Executive Vice President and Executive Officer, joined Kokusai Denki K.K. in 1988 and was reappointed as an Executive Director in June 2026. Having overseen strategy, sales and marketing since 2022, he is currently responsible for value-creation process innovation and sales-account management.

The wider board provides a relatively strong counterbalance to the two executive directors. Following the June 2026 AGM, six of Kokusai's eight directors are outside directors, including three of the four members of the Audit and Supervisory Committee. Three directors are women, representing 37.5% of the current board. The resulting structure combines operational continuity under two long-tenured company executives with a high level of outside representation and formal separation between board oversight and business execution.

SHAREHOLDERS

Kokusai's shareholder base is broadly institutional, with no controlling shareholder or major strategic block. Applied Materials Europe's **4.98% holding** is the only notable industry stake, while former controlling shareholder KKR has fully exited (Exhibit

23).

EXHIBIT 23: **Top 10 shareholders. Notably, KKR has exited completely from Kokusai.**

Shareholders	% TSO
Capital Group Cos	10.17%
State Street Corp	9.95%
Bank of New York Mellon	5.08%
Applied Materials Europe	4.98%
Qatar Investment Authority	4.84%
JPMorgan Chase & Co	4.61%
Vanguard Group Inc	4.49%
Nomura Holdings	3.33%
Chase Manhattan Bank	2.88%
Blackrock Inc	2.22%

Source: Bloomberg, Bernstein analysis.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 24: Kokusai: Income Statement

JPY bn	FY26/3	1Q27	2Q27E	3Q27E	4Q27E	FY27/3E	FY28/3E	FY29/3E
Revenue	235.1	75.4	85.5	90.2	100.9	352.0	472.1	621.7
Gross profit	96.8	30.7	36.4	39.3	43.9	150.3	205.5	275.6
SG&A	36.9	10.3	10.3	10.4	12.1	43.1	51.9	62.2
R&D	18.3	4.5	5.6	5.9	6.1	21.9	30.2	37.3
Other opex	-0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Operating profit	41.8	15.9	20.6	23.1	25.7	85.3	123.3	176.1
D&A	17.4	3.9	4.8	5.0	5.5	21.8	24.7	28.5
EBITDA	59.2	19.9	25.4	28.1	31.2	107.1	148.0	204.6
Non-OP income / (expense)	-1.1	-0.2	-0.3	-0.4	-0.4	-1.3	-1.9	-2.5
Pretax Income	40.7	15.7	20.3	22.7	25.3	84.0	121.4	173.6
Income tax expense	10.6	4.2	5.3	6.4	6.8	22.6	34.0	48.6
Net income before minority interest	30.1	11.6	15.0	16.4	18.5	61.4	87.4	125.0
Net Income	30.1	11.6	15.0	16.4	18.5	61.4	87.4	125.0
Diluted EPS (JPY)	128.6	49.4	64.0	69.9	78.9	262.3	373.7	534.3
Margins								
Gross profit	41.2%	40.7%	42.6%	43.6%	43.5%	42.7%	43.5%	44.3%
Operating profit	17.8%	21.1%	24.1%	25.6%	25.5%	24.2%	26.1%	28.3%
EBITDA	25.2%	26.3%	29.7%	31.1%	30.9%	30.4%	31.4%	32.9%
Profit before tax	17.3%	20.9%	23.7%	25.2%	25.1%	23.9%	25.7%	27.9%
Net income	12.8%	15.3%	17.5%	18.1%	18.3%	17.4%	18.5%	20.1%
Growth YoY								
Revenue	-1.6%	45.6%	30.7%	61.5%	62.6%	49.7%	34.1%	31.7%
Gross profit	-4.8%	38.1%	33.5%	71.8%	79.5%	55.2%	36.7%	34.1%
Operating profit	-18.5%	63.9%	58.5%	135.3%	175.9%	103.9%	44.6%	42.8%
EBITDA	-12.2%	51.2%	53.8%	108.8%	138.9%	80.8%	38.2%	38.2%
Profit before tax	-19.8%	68.9%	57.7%	141.4%	176.1%	106.2%	44.5%	43.0%
Net income	-16.4%	70.6%	70.7%	125.2%	153.8%	103.9%	42.5%	43.0%

Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 25: Kokusai: Balance Sheet

JPY bn	FY23/3	FY24/3	FY25/3	FY26/3	FY27/3E	FY28/3E	FY29/3E
Cash and cash equivalents	106.1	92.6	44.8	56.5	38.4	87.4	108.1
Accounts receivable	47.5	32.0	42.8	37.9	66.5	84.1	110.7
Inventories	67.2	87.7	83.2	88.9	156.6	146.1	189.7
Other current assets	1.9	2.6	2.1	2.5	2.5	2.5	2.5
Total current assets	222.6	214.9	172.9	185.8	263.9	320.0	410.9
Property, plant and equipment, net	20.5	36.9	49.0	57.2	71.4	85.6	104.3
Intangibles	63.0	57.0	54.1	50.9	47.2	43.8	43.2
Other non-current assets	64.2	66.6	65.5	65.7	65.5	65.5	65.5
Total assets	370.3	375.4	341.5	359.7	448.1	514.9	623.9
Accounts payable and accrued expenses	52.8	46.8	36.1	38.4	87.7	102.3	132.8
ST Debt	6.6	8.0	11.9	12.4	12.5	12.5	12.5
Other current liabilities	38.8	32.7	34.6	39.9	41.1	41.1	41.1
Total current liabilities	98.2	87.5	82.7	90.7	141.3	155.9	186.4
LT Debt	92.6	85.0	48.3	37.5	28.4	19.4	10.5
Other non-current liabilities	18.6	15.5	14.4	12.2	11.6	11.6	11.6
Total liabilities	209.4	188.0	145.3	140.4	181.4	187.0	208.5
Shareholders' equity	160.9	187.4	196.2	219.3	266.8	328.0	415.5
Total liabilities & shareholders' equity	370.3	375.4	341.5	359.7	448.1	514.9	623.9

Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 26: **Kokusai: Cash Flow Statement**

JPY bn	FY23/3	FY24/3	FY25/3	FY26/3	FY27/3E	FY28/3E	FY29/3E
Net Income	40.3	22.4	36.0	30.1	61.4	87.4	125.0
D&A	3.9	4.6	9.8	11.0	15.5	21.2	28.0
Changes in working capital	-27.4	-23.3	-14.6	4.0	-46.2	7.5	-39.7
Other adjustments	13.1	-0.7	7.3	3.7	4.2	3.4	0.5
Cash flow from operations	30.0	2.9	38.5	48.8	34.9	119.6	113.8
Capex	-7.8	-11.5	-27.7	-15.6	-28.4	-35.4	-46.6
Other	0.0	-0.4	0.0	-1.4	-1.0	0.0	0.0
Cash flow from investments	-7.8	-12.0	-27.7	-17.0	-29.4	-35.4	-46.6
Cash flow from financing	-25.1	-6.3	-58.1	-21.5	-23.9	-35.2	-46.5
Net effect of exchange rate changes	0.6	1.9	-0.5	1.5	0.3	0.0	0.0
Net change in cash	-2.3	-13.4	-47.9	11.8	-18.2	49.0	20.7

Source: Company disclosures, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Kokusai Electric Corp**

We set ¥12,420 price target using a P/E multiple of 30x against our forward Q5-Q8 EPS estimate.

RISKS**Kokusai Electric Corp**

Downside risks: (1) Weaker-than-expected in China from investment peak-out (2) Faster pace of Chinese local substitution (3) Unfavorable exchange rate fluctuation.

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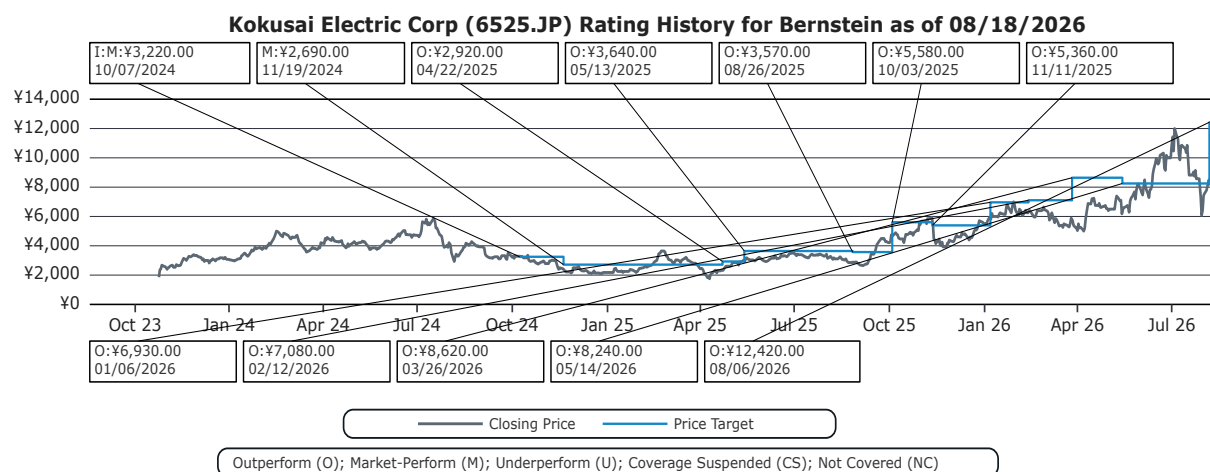
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